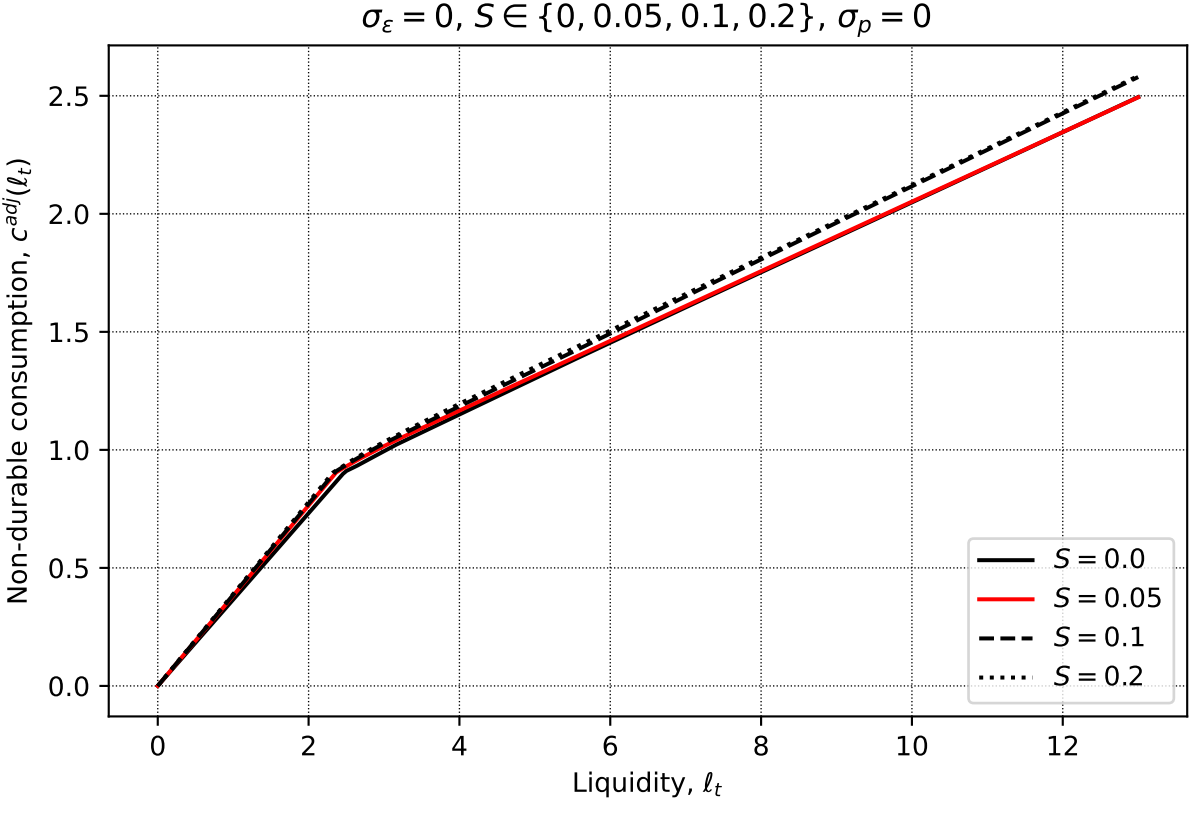
$\sigma_\varepsilon = 0$, $S \in \{0, 0.05, 0.1, 0.2\}$, $\sigma_p = 0$
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
2.5
0
2
4
6
8
10
12
$S = 0.0$
$S = 0.05$
$S = 0.1$
$S = 0.2$